FINAL TERM SOLVED
SUBJECTIVE QUESTIONS
MGT101

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Question No: 1

Assume that a company repays Rs. 300,000 loan taken from its bank and then later, in the same year company borrows Rs. 500,000. How will these items be treated on the current year's Statement of Cash Flows?

Answer:

In the section of Financing Activities

- **300,000 will appear as (300,000) showing outflow/repayment of loan**
- **500,000 will appear as 500,000 showing inflow of cash borrowed.**

Question No: 2

Given the following data:
Purchases Rs.26,000, Returns outwards Rs.1,470, Returns inwards Rs.2,100, Carriage outwards Rs.1,230, Carriage inwards Rs.890, Opening stock Rs.4,500, and closing stock Rs.6,130.

What would be the value of the cost of goods sold?
Solution:

Cost of Good Sold	Amount
Opening Stock	4,500
Add: Purchases	26,000
Less: Return Outward	-1,470
Add: Carriage Inward	890
Goods available for Sale	29,920
Less: Closing Stock	-6,130
Cost of Good Sold	23,790

Question No: 3

- **When closing stock is given in trial balance only, then what will be its effect in Profit & Loss account and Balance Sheet and why?**
- **When depreciation is given in trial balance only, then what will be its effect in Profit & Loss account and Balance Sheet and why?**

AWNSER:

1. **Closing stock given in trial balance will be shown as asset in balance sheet only, no effect in P & L a/c**
2. **Depreciation when given in trial balance will be shown as an expense in P & L a/c, only no effect in balance sheet.**

Question No: 4

Pass the journal entries if:

- **Shares are issued against cash of Rs. 20,000.**
- **Shares are issued against transfer of asset amounting to Rs. 30,000.**

Solution:

1. **Cash dr. 20000 and share capital Cr. 20000**
2. **Asset a/c dr. 30000 and share capital cr 30000**

Question No: 5

Differentiate between debtor's turnover ratio and creditor's turnover ratio.

AWNSER

Debtor's turnover ratio is regarding payment received from debtors. Basically this ratio is a helping tool for the management to make out and identify the debtors who do not pay in time.

Creditors' turnover ratio is the calculation done to identify that that in how many days the company is required to pay its creditors and the number of installments.

Question No: 6

10 % Debentures of Rs. 80,000 are shown in trial balance. How it will be shown in financial statements? Also mention why a company issues debentures.

Answer:

10% Debentures of Rs. 80000 is shown the Owners Equity pr liability Side of Balance sheet.

Debentures are issued under the common seal of the company and debentures are an instrument for obtaining the loan from the general public. Company also paid mark up on debentures which generally equal to the market rate.

Question No: 7

Income Statement of XYZ Ltd for the year ended on 30th June, 2007:

Particulars	Rs.	Rs.
Sales		500,000
Less: Cost of Goods Sold		250,000
Gross Profit		250,000
Less: Operating expenses		
Administrative expenses	110,000	
Interest expenses	20,000	130,000
Net profit before Tax		120,000
Less: Taxes		36,000
Net profit after tax		84,000

Opening Stock for the year was Rs. 60,000.

Balance Sheet of XYZ Ltd on 30th June, 2007:

Assets	Rs.
Fixed Assets	400,000
Stock	60,000
Debtors	230,000
Bills Receivable	40,000
Cash at bank	150,000
Prepaid expenses	20,000
Total	900,000
Liabilities	
Share capital	200,000

Reserves and surplus	250,000
10% Debentures	200,000
Creditors	180,000
Bills payable	70,000
Total	900,000

Calculate following ratios from the financial statement of XYZ Ltd.

1. **Current Ratio**
2. **Acid Test Ratio**
3. **Stock turnover Ratio**
4. **Debt equity Ratio**
5. **Gross profit Ratio**

Solution:

1: Current Ratio:

Total Assets/Total Liabilities
= 900000/900000
= 1

2: Acid Test Ratio:

Total Assets-Stock/Total Liabilities
= 900000-60000/900000
= 840000/900000
= 0.933333

3: Stock turnover Ratio:

(Average Stock / Cost of goods sold) x 365

Average Stock = opening stock + Closing Stock/2
= 60000+60000/2
= 60000

= (Average Stock / Cost of goods sold) x 365
= (60000/250000) x 365
= 0.24 x 365
= 87.4

4: Debt equity Ratio:

Long term Liabilities / Equity
= 200000/200000
= 1

5: Gross profit Ratio:

(Gross Profit / Sales) x 100
= 250000/500000 x 100
= 0.5 x 100
= 50

Question No: 8

The following discrepancies were noted on comparing Cash Book with Pass Book.

(1) The following cheques were deposited into bank on 28th March but were not collected by the bank by 31st March, (i) Rs. 500, (ii) Rs. 300, (iii) Rs. 200.
(2) The following cheques were issued but were not presented for the payment by 31st March. (i) Rs. 200, (ii) Rs. 450 (iii) Rs. 525 (iv) Rs. 375.
(3) The bank credited a dividend of Rs. 2,000 on 31st march but intimation was received by the trader on 5th April, 2008.
(4) The bank credited interest of Rs. 50 on 31st March but not debited in Cash Book.
(5) The Bank charged (debited) a commission of Rs. 100 on 31st March.
(6) A cheque of Rs. 500 was received from customer and was entered in the bank column of Cash Book on 25th March, but was paid into the bank on 1st April.

Required: Prepare a Bank Reconciliation Statement, if the Bank balance as per Cash Book (Dr.) was Rs. 15,000 on 31st March, 2008.

Answer:

Balance as per Cash book.	Dr	15000
Less not collected Cheques. (500+300+200)	Cr	1000
	Dr	14000
Add UN Presented Cheques (200+450+525+375)	Dr	1550
	Dr	15550
Add dividend Credit by bank	Dr	2000
	Dr	17550
Add interest credit by bank	Dr	50

	Dr	17600
Less bank charges	Cr	100
	Dr	17500
Less Cheque received	Cr	500
Balance as per Bank Book	Cr	17000

Question No: 9

Pass the rectifying entries to correct the following errors:

1. Mr. "Ali" purchased goods of Rs. 1,500 on cash, but omitted to enter in the books of accounts.
2. An amount of Rs. 5,000 received from Mr. Amir, was credited to the account of Mr. Ameer.
3. Goods returned worth Rs. 500 to Mr. "B" wrongly debited to sales Account.
4. A purchase of goods from Mr. "B" of Rs. 400 has been wrongly debited to Furniture Account.
5. Furniture purchased on cash Rs. 8,000 posted as purchases.

Rectification of Errors

Error 1.

A purchase of goods of Rs. 1,500 on cash was omitted by mistake

Rectification Entry on the date of discovery:

Debit:	**Purchase Account**	**1,500**	
Credit:	**Cash Account**		**1,500**

Error 2

An amount of Rs. 5,000 received from Mr. Amir, was credited to the account of Mr. Ameer.

Debit:	**Mr. Ameer**	**5,000**	
Credit:	**Mr. Amir**		**5,000**

Error 3

Goods returned worth Rs. 500 to Mr. "B" wrongly debited to sales Account.

Debit:	**Goods Return**	**Rs. 500**	
Credit:	**Sales Account**		**Rs. 500**

Error 4

A purchase of goods from Mr. "B" of Rs. 400 has been wrongly debited to Furniture Account.

Debit:	Purchases	Rs. 400
Credit	Furniture Account	Rs. 400

Error 5

Furniture purchased on cash Rs. 8,000 posted as purchases.

Debit	Furniture Account	Rs. 8,000
Credit	Purchase Post Account	Rs. 8,000

Question No: 10

Briefly explain the financial statements prepared by the organization. Why these are important for manufacturing concern?

ANSWER:

The financial statements prepared by any organization are as follows:

1. **Profit and loss account:**
   It shows the performance of the business in a given period. It shows the profitability of business which shows the success or failure of the business.

2. **Balance sheet:**
   Balance sheet shows the position of business at a given point. It shows the resources available by the business and the resources invested by the owner and other loans.

3. **Cash flow statements:**
   Cash flow statements show the generation of cash and its usage over a given period.

Question No: 11

Write a note on legal documents required for the formation of company.

ANSWER:

LEGAL DOCUMENTS REQUIRED FOR FORMATION OF COMPANY:

MEMORENDUM OF ASSOCIATION: It contains the following information

1. Name of company.
2. Place of registered office
3. Objective
4. Amount of share capital with which company registers.

ARTICLES OF ASSOCIATION: It contains the following information

A document that contains all the policies and other matters necessary to run the business of the company. It is signed by all the members of the company

Question No: 12

Define cash flow from operating activities with some examples.

Answer:

Extract from Cash Flow Statement.

Net profit		100,000
Add Back :	Non Cash Transaction	
Depreciation Exp		5000
Gain on Currency Exchange		10,000
Gain on Sale of Disposal of Asset		2,000
Cash from Opening Activities before working Capital Change	117,000	
Less: Increase in Assets		-10,000
Add: Decrease in Assets		5,000
Add: Increase in Liabilities		6000
Less: Decrease in		-3000
Cash Generated from Operating		115,000

Question No: 13

Record the following transactions in the General Journal.

Date:	Transactions
Jan 1, 2007	Mr. Asghar started business with cash Rs. 1, 00,000.
Jan 2, 2007	Opened bank account with amount Rs. 50,000.
Jan 4, 2007	Purchased goods for cash Rs. 15,000.
Jan 9, 2007	Payment made to Karachi store (Creditor) Rs. 15,000 by cheque.
Jan14, 2007	Goods returned to Karachi store worth Rs. 1,500.
Jan22, 2007	Goods sold for cash Rs. 2,000.

Solution:

DR

Bank account 50,000
Purchased goods for cash Rs. 15,000
Payment made to Karachi store (Creditor) Rs. 15,000 by cheque
Goods returned to Karachi store worth Rs. 1,500
Credit balance 20500

CR

Mr. Asghar started business with cash Rs. 1, 00,000
Goods sold for cash Rs. 2,000.

Question No: 14

Mr. A, B & C entered into a partnership. At the beginning of the year their capital balances were Rs. 180,000, Rs. 140,000 and Rs. 80,000 respectively. Profit or loss is to be divided as:

- **Mr. A: one-half**
- **Mr. B: one-third**
- **Mr. C: one-sixth**

Required:

If profit is Rs. 390,000, calculate the share of profit for all the partners.

Solution:

A = Rs. 390,000 / Rs 400,000 * Rs. 180,000 = Rs 175,500
B = 390,000 / Rs 400,000 * 140,000 = 136,500
C = 390,000 / 400,000 * 80,000 = 78000
Check = 175,500+136500+78000 = 390.000

Question No: 15

Particulars	Rs.
Interest on loans	2,000
Interest on overdraft	4,000
Foreign exchange gain	6,000
Gain on disposal of fixed assts.	8,000
Sale of Scrap	1,000

Based on the above information, you are required to calculate the amount of following:

- **Financial charges**
- **Other income**

Solution:

Financial Charges = Interest on loan + interest on OD + Foreign exchange
= 2000+4000+6000
= 12,000

Other income = Disposal of fixed assets + Sale of scrap
= 8000+1000
= 9000

Question No: 16

What is the difference between accounts payable and accounts receivable? Discuss it with the help of example.

Solution:

Accounts payable

Account payable is the amount which a company owes to creditors/ suppliers on account of purchases of goods or services E.g. Purchase of Raw material on credit, Payment of service agreed after a week etc.

Account payable is a liability.

Account receivable:

Account receivable is the amount which a company has to receive from its customers on account of sales of goods or services made to them

Sales of items to Mr. A,

Account receivable is current asset.

Question No: 17

In trial balance at June 30, 2007 10% debentures are shown at Rs.75,000 and mark up on debentures are shown at Rs.3,750. Six months debenture mark up is to be accrued. What will be the amount of total mark up on debentures show in profit and loss account?

- **From the following information calculate cost of goods sold.**

Stock opening balance	**Rs.56,950**
Purchases	**175,750**
Stock closing balance	**65,020**
Carriage inward	**5,200**
Sales S	**245,500**

Solution:

Part A

Total mark-up in P/L = 75000 * 10% = 7500

Part B:

Cost of goods sold = Opening stock + Purchases - Closing stock + Carriage inwards

= 56,950+175,750 - 65020 + 5200

= 172,880

OR

Cost of goods sold:

Opening stock	=	56,950
Add: Purchases	=	175,750
Less: Closing stock	=	65020
Add: Carriage inwards	=	5200
Cost of goods sold	=	172,880

Gross profit = Sales – cost of goods sold

= 245,500-172,880

= 72620

Question No: 18

Financial year decided by partnership agreement is 1st July to 30th June. Mr. Ali is partner and having a capital of Rs. 1,500,000 on July 1st 2007 and he introduced more capital on August 1st 2007 Rs. 10,000, on April 1st 2008, Rs. 500,000 and on June 1st 2008 , Rs. 5,000. Mark up rate is 10% p.a.
Calculate mark up on Mr. Ali's capital for the year ending on 30th June 2008.

Solution:

Calculation of mark-up:

From 1st July to 30 June	=	1,500,000 * 10%	= 150,000
From 1st august to 30 June	=	10,000 * 10% * 11/12	= 917
From 1st April to 30 June	=	500,000 * 10% * 3/12	= 12,500
From 1st June to 30 June	=	5000 * 10% * 1/12	= 42
Total markup on capital	=	150,000+917+12500+42	= 163,459

Total markup on capital = 163,459

Note: financial year 1st July to 30th June.

Question No: 19

Mr. Hassan is a partner in a partnership firm. His capital on July 1, 2001 was Rs. 400,000. He invested further capital of Rs. 150,000 on March 01, 2002. Markup rate is @6%p.a. The financial year of such a business is from 1st July to 30th June.
<u>Required:</u> You are required to calculate his markup on Capital at the end of 30th June 2002.

1.	Capital invested on july 1 2001	=	400,000	
	Markup rate on 400,000	=	6% of 40,000	= 4,000
2.	Further capital introduced / invested	=	150000 on March 1, 2002	
	Markup rate	=	6% of 150000	
		=	9000 x 4/12	
		=	3000	

Total mark up rate	=	1	+	2
	=	24000 + 3000		
	=	27000		

Question No: 20

What do you know about the Profit and loss appropriation account in case of partnership?

Profit and loss appropriation account contains the information regarding the amount of profit distributed to the partner's current account.

Question No: 21

Briefly discuss the followings:

1. **Issuance of shares at premium:**
   Issuance of shares for an amount more than its face value is known issuance of shares at premium.

2. **Cash flow statement:**
   Cash flow statement is a part of financial statements; it contains the information regarding the cash generated by (used in) operating, investing and financing activities.

3. **Debentures:**
   Debentures are issued by the companies to raise finance. Normally, the carry a fixed rate of return.

4. **Notes to the accounts:**
   Notes to the accounts are a part of financial statements, which contains the detail about the Company, accounting policies used, critical judgment areas and detail of certain account heads of balance sheet and profit and loss account along with the detail of contingencies and commitments, if any.

Question No: 22

Mr. A, Mr. B and Mr. C entered into partnership on 1st January 2007 contributing Rs.15, 000, Rs.10, 000 and Rs.18, 000. Mr. A invested Rs.6, 000 as additional capital on 1st May, Mr. B brought additional capital of Rs.4, 000 on 1st October and Mr. C brought additional capital of Rs.8, 000 on 1st October. They earned a profit of Rs.10, 500 during the year. Profits are to be shared in their capital ratio. Calculate partners share of profit and pass the necessary journal entry. Financial year ends on 31st December.

Solution:

Contributed on	Mr. A	Mr. B	Mr. C	Total in Rs.
January 01, 07	15,000	10,000	18,000	43,000
May 01, 07	6,000	--	--	6,000
October 01, 07	--	4,000	--	4,000
October 01, 07	--	--	8,000	8,000
	21,000	14,000	26,000	61,000

Sharing percentage	34.43%	22.95%	42.62%	100%
Share of profit	3,615	2,410	4,475	10,500

	Dr (Rs.)	Cr. (Rs.)
Profit for the year	10,500	
Partner's account		
Mr. A		3,615
Mr. B		2,410
Mr. C		4,475
	10,500	10,500

Question No: 23

What is bank overdraft? Mention an example for this. Why companies have to pay mark up on it. Under which head mark up paid on overdraft is shown in financial statement.

Answer:

Bank Overdraft is the form of loan taken from the bank when the amount is exceeding from specific limit, and bank deduct this overdraft amount when company's account debited, As this is the type of Loan and so company have to pay mark up as interest on the overdraft amount and depend upon the terms of agreement. In the financial statement the mark up is shown in Financial Expenses.

Question No: 24

From the given information as at June 30, 2007, calculate fixed assets at WDV and cost of goods sold as on June 30,2008.

Building at Cost		**239,500**
Equipment at Cost		**22,000**
Vehicles at Cost		**45,000**
Accumulated Dep –	**Building**	**12,250**
	Equipment	**7,000**
	Vehicles	**13,900**
Stock Opening Balance		**58,725**
Sales		**247,500**
Purchases		**136,775**
Carriage Inward		**6,050**
Vehicle Running Expenses		**22,300**

Additional Information:

- **Closing stock Rs. 70,050.**
- **Depreciation during the year**
  - **Building 6,000**
  - **Vehicles Rs 8,500**
  - **Equipment 4,000**

Solution:

Cost of Goods Sold:

Opening Stock Balance	58,725
Add: Purchase	136,775
Add: Carriage Inward	6,050
Less: Closing Stock	(70,050)
Cost of Goods sold	**131,500 Rs.**

Fixed Assets:

Building (12,250)	227,250
Vehicle (13,900)	31,100
Equipment (7,000)	15,000
Total	**273,350 Rs.**

Question No: 25

What are the benefits of subsidiary ledgers?

Answer:

When business expands the number of accounts and entries are also increased so to control the accounts in a better way subsidiary ledgers are used which give a good picture and vision of the account study and accountability.
Following are the subsidiary ledgers used:

1. Sales Journals
2. Sales Returns
3. Debtors Ledgers

Question No: 26

What is the meaning of investment? Differentiate between long term and short term investments.

Answer:

Investment:

Whatever money or resources from ones' own pocket are put in a business is referred to as CAPITAL. Capital is the investment of the Owner in the business.

Long term Investment:

Investments made with the intention that they will be held for a period longer than twelve months are classified as long term (over the year).

Short Term Investment:

Investments made for a period equal to or shorter than 12 months are classified as short term, (usually under the year i.e. quick bond or fast moving shares)

Question No: 27

Identify which of the following activities are operating, investing or financing in the context of cash flow statement.

1. **Payment to owners, such as cash dividends**
2. **Cash proceeds from collecting principal amounts on loans**
3. **Payments of interest**
4. **Payments to acquire investments and plant and intangible assets**
5. **Payments of income taxes**
6. **Amounts advanced to borrowers**
7. **Collections from customers for sales of goods and services**
8. **Interest and dividends received**
9. **Proceeds from both short-term and long-term borrowing**
10. **Cash received from owners**

Solution:

S. No.	Particulars	Activities
1	Payment to owners, such as cash dividends	Financing
2	Cash proceeds from collecting principal amounts on loans	Financing
3	Payments of interest	Financing
4	Payments to acquire investments and plant and intangible assets	Investing
5	Payments of income taxes	Operating
6	Amounts advanced to borrowers	Operating
7	Collections from customers for sales of goods and services	Operating
8	Interest and dividends received	Financing
9	Proceeds from both short-term and long-term borrowing	Financing
10	Cash received from owners	Financing

Question No: 28

ABC Company purchased goods of Rs.150,000 on credit from which goods of Rs.20,000 were defected and returned. Company received 2% discount at the time of payment from the supplier.

Required:

A. **What will be the amount of discount received by the company?**
B. **Also show the journal entries**

Solution:

(A)

Discount Received = (150,000-20,000) x (2/100) = 2600

(B)

	Particulars	**Dr.**	**Cr.**
Entry for Purchase			
	Goods	150,000	
	A/P		150,000
Entry for Return			
	A/P	20,000	
	Goods		20,000

While making Payment (@ 2% discount = 2600)

A/P	130,000	
Discount income	2,600	
Cash	127,400	

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